

Research Report

Tokenization Playbook for Banks

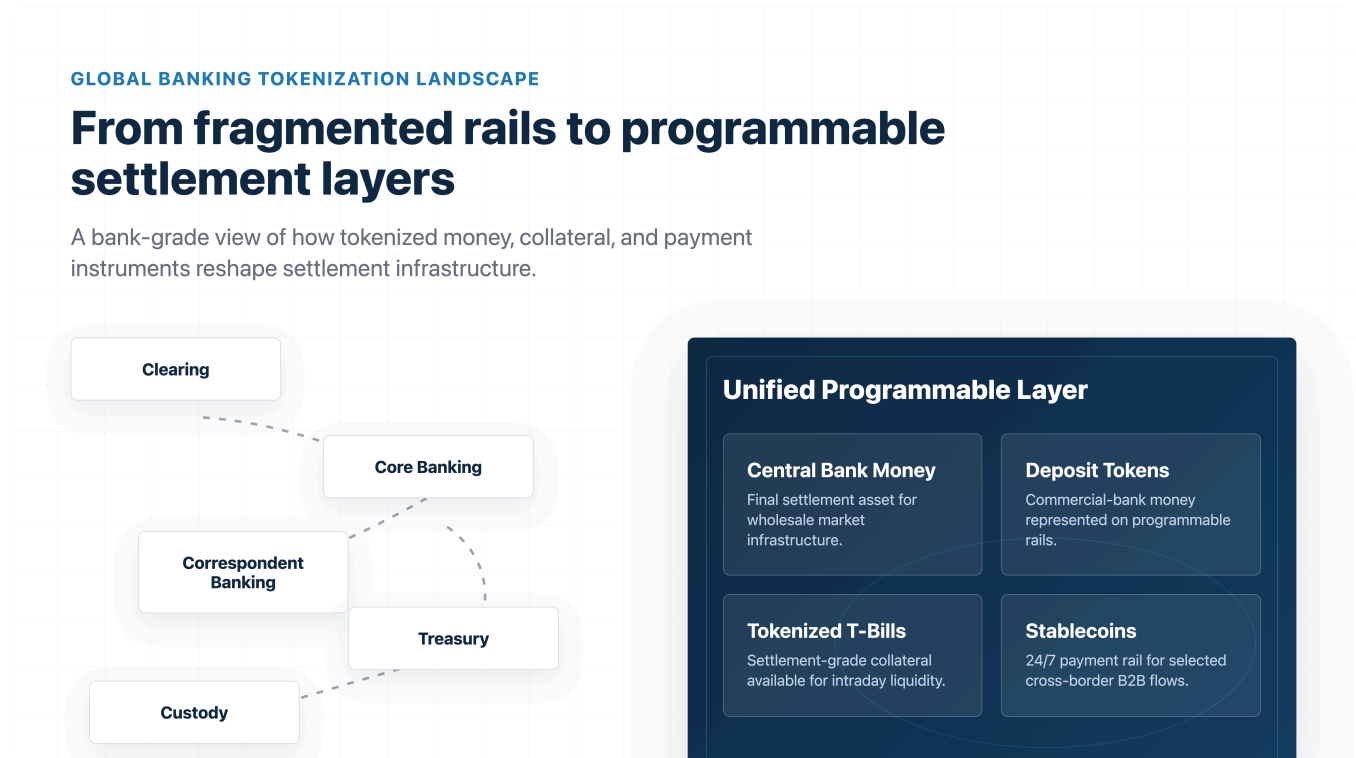
Practical approaches how banks can launch digital
assets initiatives

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From settlement rails to programmable bank balance sheets

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The legacy banking stack - designed around operating-hour settlement windows and fragmented balance-sheet ledgers - has accumulated material operational drag: every overnight hold, every manual reconciliation, every pre-funded Nostro erodes the margin. Programmable assets and atomic settlement can reduce that drag by moving value directly, not only the instructions around it. What follows is how that shift plays out in the commercial bank's settlement layer, and what to do about it between now and 2030.

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ABOUT COINSTRUCT

Coinstruct.tech is a tokenization advisory firm focused on financial institutions.

Every recommendation is grounded in live tokenization cases, not theory. Coinstruct maintains a proprietary intelligence platform tracking **180+ live tokenization cases**: who structured what, in which jurisdiction, on which infrastructure, and what actually worked. See app.coinstruct.net.

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Executive Summary

Banking infrastructure is moving – slowly but irreversibly – toward programmable operating models. Interbank clearing is changing, liquidity management is changing, treasury is changing. This is no longer a lab exercise. We sort the shift into five directions:

- 1. **Deposit tokens** – a way for commercial banks to retain a role in digital settlement.
- 2. **Loan tokenization** – acceleration of credit-asset distribution and servicing.
- 3. **Tokenized bonds and Treasury bills** – transformation of debt instruments into settlement-grade collateral.
- 4. **Wholesale Central Bank Digital Currencies (wCBDC)** – central-bank-led modernization of interbank clearing.
- 5. **Stablecoins** – programmable payment rails for cross-border B2B flows.

In the updated RWA.xyz snapshot dated July 6, 2026, distributed asset value for tokenized real-world assets (RWA) on public blockchains stood at USD 32.62 billion.¹ The largest segment, tokenized U.S. Treasuries, stood at USD 14.8 billion, providing institutional participants with around-the-clock access to liquidity.² J.P. Morgan's Kinexys platform now processes more than USD 7 billion in average daily transaction volume.³ DLT, in other words, has moved from pilot stage to industrial infrastructure.

RWA.xyz is a live dashboard: the aggregate can change with data updates, asset taxonomy, and filter state. This report and Figure 1 therefore preserve a dated access snapshot rather than a permanent market-size figure.¹



For commercial banks, this is not a technology fad but a genuine strategic inflection point. A bank that does not run its first tokenization pilot in the next 12-18 months risks gradual exclusion from select

payment and treasury chains – slowly, quietly, and with rising re-entry costs once those chains consolidate. The industry's answer is the "tokenized unified ledger" – a single programmable platform on which central-bank money, commercial-bank deposits, and government debt instruments coexist side by side.⁴

One-Page Takeaway

- **Why now?** High rates and fintech alternatives are eroding the bank's monopoly on the settlement layer. J.P. Morgan and BlackRock have already scaled to billion-dollar volumes,^{3,30} which means DLT is no longer a research track – it is the industrial infrastructure the rest of the market will lean on within two or three years.
- **Where is the value?** In liquidity coordination and capital mobility. Atomic settlement compresses the cycle to seconds (T+0),⁵ releasing capital previously locked inside pre-funded Nostro/Vostro accounts.
- **What is production-ready?** Tokenized T-Bills as programmable HQLA collateral.² Digital bond issuance platforms (HSBC Orion, cumulatively >USD 3.5 billion)¹⁷ and commercial-bank deposit tokens already operate inside regulated environments.³
- **What remains experimental?** Cross-border settlement on a "unified ledger" between commercial and central banks (Project Agorá)⁶ and autonomous AI-agent payments – these remain at pilot stage.
- **12-month action plan:**
 1. Technology audit of DLT-based custody solutions.
 2. Pilot using tokenized T-Bills for intraday-liquidity (repo) management.²
 3. Interoperability strategy – for example, Chainlink CCIP integrated with SWIFT interfaces.⁷

Block 1 - Limitations of Traditional Banking Infrastructure

The legacy financial stack is built as a multi-stage queue: intermediary after intermediary, manual reconciliation after manual reconciliation, incompatible systems at every step. For a Head of Operations or Treasury, this is not abstract – it appears as concrete line items in the P&L: penalties for settlement fails, capital frozen inside Nostro, overdraft costs. Below are five such limitations, ordered to match the solutions in Block 2.

Threat to the Deposit Base (USD 6.6 trillion at stake)

Stablecoin capitalization stood at USD 295.24 billion on RWA.xyz as of July 6, 2026,¹ at which point this is no longer a peripheral crypto segment but a parallel settlement infrastructure competing with banks directly. A U.S. Treasury estimate cited by the ABA says that, if payment stablecoin yield/rewards incentives persist, up to **USD 6.6 trillion** of U.S. bank deposits could be at risk of

flowing into digital dollars, against a U.S. commercial-bank deposit base of about **USD 19.4 trillion** for the week ending June 24, 2026.⁸

In effect, stablecoins are forming a synthetic shadow deposit layer. If issuers or linked platforms compete on yield, that layer draws cheap passive funding away from banks, narrows the resource available for lending, and erodes the classic net-interest-margin model.⁸

FIGURE 2

USD 6.6T at Risk: Stablecoins and the U.S. Deposit Base



- **Stablecoins form a parallel settlement layer**

Payment flows can move outside traditional deposit rails.

- **Yield or rewards can intensify outflow risk**

At-risk estimate: USD 6.6T; remaining deposits: ~USD 12.8T.

- **NIM pressure rises as deposit competition changes**

The risk is conditional, but the funding pressure is strategic.

Visa stablecoin run rate

Mastercard x BVNK

Stripe x Bridge

ABA cites the Treasury estimate as a conditional risk if stablecoin yield or rewards incentives persist.

Inefficiency of the Credit Back Office

The credit sector - particularly syndicated lending and the servicing of alternative debt - is territory built on chronic fragmentation. Every lender maintains its own ledger, with its own version of the truth about loan obligations. From there follows the rest: asynchronous updates, manual reconciliation, errors in rate and coupon-period calculations. All of which delays both accruals and secondary-market turnover of loan participations.

The cost of this fragmentation does not appear as a single universal fee. It shows up as delays, manual reconciliations, and parallel operating layers. That is why Versana is building a centralized real-time data platform for syndicated loans: administrative agents transmit data from their ledgers through APIs, while lenders receive a synchronized view of terms, payments, and status.⁹

Settlement Inefficiency in the Debt Market

Trade execution is now genuinely fast. Post-trade - clearing, netting, the actual settlement - remains fragmented. ESMA data: **5-10% of equity trades and 2-4% of bond trades** in Europe end in technical failure or delay (settlement fails); at international CSDs (ICSDs), the failed-settlement rate reaches as high as 10-27%.¹⁰ Firebrand x DTCC x Euroclear x Clearstream broke down the causes: 71% of 2024 failures came from counterparty shorts, **21% from data distortions** - stale Standing Settlement Instructions, miscalculated accrued coupon, mismatched depositary details.²⁶

The CSDR Penalty Mechanism, introduced in February 2022, has improved the picture: T2S fail rates in value declined from 6.6% to 3.8% by January 2024. Yet the daily cash-penalty logic still preserves a direct economic cost for settlements not completed on time.¹⁰

A separate issue sits on the treasury side. The rigid T+1/T+2 cycle does not allow the bank to instantly mobilize on-balance-sheet T-Bills as repo collateral to close an intraday cash gap. Result: overpaying for overdrafts, or borrowing reserves at penalty rates.

Fragmentation of Interbank Settlement

The correspondent chain runs on the "send a message, wait for the next one" principle. Time zones do not align, RTGS schedules do not align, and a cross-border payment ends up taking 3 to 5 business days.⁶ To reduce intermediary default risk, banks pre-fund their correspondent accounts. Industry estimates put trapped Nostro/Vostro liquidity in the trillions of dollars; upper-bound secondary estimates cite up to **USD 27 trillion** - funds that could be deployed in lending or treasury but instead sit as settlement-risk insurance.¹¹

CBDCs should, in theory, address this. But national projects remain "digital islands": per BIS Survey 2024, **91% of the 93 surveyed central banks** are piloting some form of retail or wholesale CBDC - and these platforms are not integrated with one another.¹²

Slow and Expensive Cross-Border B2B Payments

For a corporate client, the problem is simpler: cost, speed, transparency, and access in cross-border payments remain unresolved parameters. In the G20 Roadmap, the FSB explicitly targets, by the end of 2027, a global average cost of no more than 1% for the retail segment of cross-border payments, including B2B/P2B/B2P, with no corridor above 3%, and a large majority of payments completed within one hour.⁶ The existence of those targets shows how far the current infrastructure still sits from the expected level of service.

Block 2 - Programmable Infrastructure as the Response

Programmable banking infrastructure operates on a different settlement principle. Not "send a message and wait" - as in the SWIFT model - but an instant transfer of asset ownership directly on-chain.

Core insight: the economic leverage of atomic settlement (T+0)

What matters here for the CFO and Treasurer? The move from T+2/T+1 to atomic settlement, T+0.⁵ The asset and the cash move together, at the smart-contract level: either the trade settles in full within seconds, or it does not execute at all. Herstatt risk - the classic risk of a counterparty defaulting inside the settlement window - is structurally reduced within atomic DvP/PvP settlement. The FX principal settlement exposure is removed at the transaction-design level; broader counterparty risks remain outside the scope of the mechanism.⁶

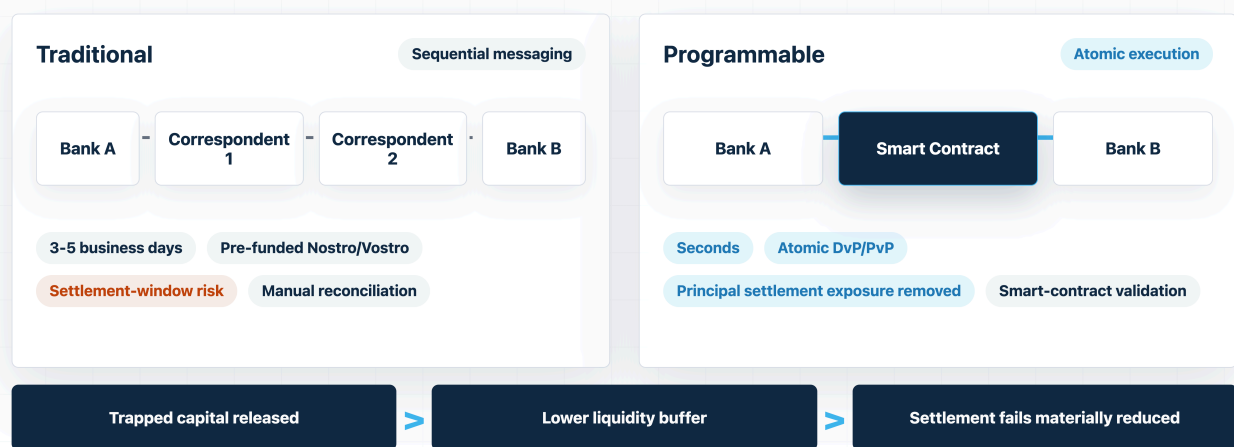
What this means in P&L:

1. **Less capital is locked.** The need for Nostro/Vostro pre-funding can decline,¹¹ and part of the previously trapped liquidity can be redirected into treasury operations or commercial lending.
2. **Lower pressure on liquidity buffers.** Instant settlement reduces market and credit risk inside the trade window. Depending on the currency corridor, asset mix, and settlement model, that can ease LCR-buffer pressure and lower funding cost; the magnitude has to be validated against the bank's own portfolio and supervisory treatment.
3. **Operational errors are reduced at the process level.** Counterparty details and trade terms are validated inside the smart contract - before any token is minted or transferred. The share of failed post-trade settlements, and the regulatory penalties associated with them, declines materially.¹⁰

One important point: the atomic settlement layer is not a "product" the bank acquires externally. It is a property of the architecture - the shared leverage point under all five solutions below. What follows is five applications, each addressing one specific problem from Block 1.

FIGURE 3

From T+2 Messaging to T+0 Atomic Settlement



Atomic DvP/PvP compresses settlement from sequential messaging into conditional asset-payment execution.

Deposit Tokens → answer to the deposit-base threat

A deposit token is a commercial bank's liability, digitized and recorded on a distributed ledger. The key difference from a stablecoin: legally, this remains a bank deposit - covered by deposit insurance and subject to prudential supervision.

Already in production. J.P. Morgan's **Kinexys** (formerly JPM Coin) processes more than **USD 7 billion in average daily transaction volume**, with cumulative volume above **USD 3 trillion**.³ In

November 2025, J.P. Morgan made its dollar deposit token **JPMD** available to institutional clients on the public L2 **Base** (Ethereum). FirstRand Bank and Mitsubishi Corporation have also joined Kinexys.³

Mini-case: BMW Group x Kinexys. BMW Group's treasury executed the first fully automated cross-border payment with programmable FX conversion on Kinexys.³ The smart contract runs the loop with no manual intervention:

1. **Checks balances** on BMW's on-chain deposit accounts in Frankfurt and New York.
2. **Initiates a conditional auto-deposit** under a pre-programmed instruction.
3. **Executes the EUR→USD FX conversion** and transfer between BMW's Frankfurt and New York accounts outside traditional settlement windows.
4. **Transfers liquidity** instantly - 24/7/365, with no cash drag.

Regulatory anchor. In the U.S., the **GENIUS Act** (July 2025) created a federal regime for payment stablecoins and a path via the OCC for federal qualified issuers.¹³ In the EU, **MiCA** does not single out deposit tokens with a separate regime - they remain a banking product outside EMT logic.¹⁴

What the bank can do this week. Convene treasury, size up liquidity volumes across the main currency corridors, and score deposit-token platforms against specific cross-border optimization scenarios.

Deposit tokens protect the liability side of the balance sheet from stablecoin competition. The next logical step is to optimize the asset side, starting with the segment most burdened by back-office work: the loan portfolio.

Loan Tokenization → answer to credit back-office inefficiency

Loan tokenization is a modernization of the back-office stack for origination, servicing, syndication, and collateral coordination. A share in a credit pool is digitized as a token under a specialized compliance standard such as **ERC-3643**³¹: an on-chain protocol that automatically blocks transfers to unauthorized recipients, while eligibility and compliance checks are executed at the smart-contract level during transfer.

End-to-end transaction cycle (The Loop):

1. **Portfolio segregation.** The originator transfers the credit pool to a bankruptcy-remote SPV - balance-sheet risk is isolated.
2. **Issuance and minting.** The SPV mints digital loan tokens, each representing a fractional share of the portfolio.
3. **Compliance-gated distribution.** Tokens are distributed to verified institutional investors whose wallets are whitelisted post-KYC/AML; payment is made in stablecoins.
4. **Payment collection.** Borrowers continue to make scheduled payments in fiat (USD) into the SPV's bank accounts - nothing changes for them.
5. **Automatic distribution.** A treasury smart contract converts incoming fiat into stablecoins and distributes interest income to token-holder wallets pro rata.

Production deployments:

- **Case 1 - Retail collateral.** **Figure Technology Solutions** reported USD **2.902 billion** of Consumer Loan Marketplace Volume in Q1 2026, while Figure and its partners have originated more than **USD 24 billion** of home-equity volume to date. The DART (Digital Asset Registry Technologies) component in Figure's ecosystem supports asset custody and lien-perfection workflows.¹⁵
- **Case 2 - Alternative investments.** **Centrifuge x Janus Henderson** run the on-chain credit fund **JTRSY**: in March 2026 S&P Global upgraded the fund to **AAAF/S1+**, while noting more than **USD 865 million** of assets total value locked; RWA.xyz showed USD **881.4 million** on July 6, 2026.¹⁶ The architecture transfers directly to a bank refinancing its own loan portfolio.
- **Case 3 - Syndicated lending.** **Versana** processes **1,500+ syndicated loan facilities** with about **USD 900 billion** in commitments through a real-time digital data platform. Versana addresses the fundamental problem of syndication: isolated lender ledgers, asynchronous updates, manual reconciliation. Every consortium member receives a single source of truth on repayments and loan terms, in real time.⁹

Regulatory anchor. In the EU, **MiFID II / MiCA** allows issuance of tokenized debt instruments to professional clients without an additional license. In the U.S., **SEC Regulation D / Rule 144A** covers institutional distribution of on-chain shares of credit pools.

What the bank can do this week. Audit the HELOC or commercial-loan portfolio for suitability for a pilot SPV securitization, and engage technology providers to scope pilot terms.

Loan distribution addresses only half of the task. Beyond it, the treasury still requires a liquidity-and-collateral instrument - which is the territory of the tokenized debt market.

Tokenized Bonds and Treasury Bills (Bonds & T-Bills) → answer to debt-market settlement inefficiency

Two slices of one market sit inside this section: the **primary issuance** of debt instruments on DLT (issuance side), and **secondary collateral management** at the treasury level (collateral side) for instant repo.

Collateral Side: T-Bills as settlement-grade collateral

For a bank treasury, a tokenized T-Bill is not a retail investment product. It is a "safe harbor": a yield-bearing HQLA collateral, available 24/7 for instant repo and interbank borrowing.

Sector leader. BlackRock's **BUIDL** fund, sized at **USD 2.2 billion** according to RWA.xyz as of July 6, 2026.³⁰ The defining feature of BUIDL is not only its volume but its role as on-chain collateral: in April 2026, OKX, BlackRock, and Standard Chartered launched a framework in which institutional clients can use BUIDL as yield-bearing collateral, with Standard Chartered acting as the regulated G-SIB custodial layer.³⁰ **Ondo Finance**, through Ondo Global Markets, is building a tokenized public-securities platform; by May 2026, Ondo Global Markets had surpassed **USD 1 billion in TVL**.²

- *Intraday liquidity.* A traditional money-market fund requires at least T+1 to redeem units. A tokenized fund converts units into settlement stablecoins instantly, T+0, at any time of day.
- *Programmable collateral.* A tokenized T-Bill is locked automatically inside a smart contract as collateral for a credit line – and continues to generate interest while locked.

Issuance Side: digital debt issuance

- **HSBC Orion & DIGIT.** The **HSBC Orion** platform has supported more than **USD 3.5 billion** of digitally-native bond issuance cumulatively. In February 2026, HM Treasury selected HSBC Orion for the Digital Gilt Instrument pilot (**DIGIT**). If the pilot proceeds to issuance, the United Kingdom could become the first G7 jurisdiction to tokenize sovereign debt.¹⁷
- **Polygon as institutional hub.** Polygon has methodically built itself into a hub for digital-debt issuance. The key step: **Calastone Tokenised Distribution**. Calastone connects 4,500+ clients, 40,000+ trading links, and 58 countries/territories; the product supports access to blockchain networks including Ethereum, Polygon, and Canton.¹⁸
- **Siemens corporate bond.** Germany's Siemens issued a **EUR 60 million** digital bond directly on public Polygon, in accordance with eWpG (Germany's Electronic Securities Act). Paper certificates and central-depository services were excluded from the scheme; buyers were DekaBank, DZ Bank, and Union Investment.¹⁸
- **Municipal bonds (City of Quincy).** In April 2024, Quincy (Massachusetts) executed the **first U.S. municipal tokenized bond** – sized at **USD 10 million**, on J.P. Morgan's Onyx Digital Assets. In December 2024, BlackRock's **iShares Short Maturity Municipal Bond Active ETF (MEAR)** purchased **65% of the issue (USD 6.5 million)**, demonstrating the applicability of on-chain collateral to public funds as well.¹⁹

Regulatory anchor. Switzerland's **DLT Act** (2021) introduced a regime for registered uncertificated securities / DLT securities, and FINMA licensed SDX as a stock exchange and central securities depository for trading tokenized securities and integrated settlement.²⁰ In the EU, the **DLT Pilot Regime** permits the use of DLT for market-infrastructure settlement.²⁰

What the bank can do this week. Establish a joint Wealth Management x Debt Capital Markets working group to assess technical readiness for a pilot digital-bond issuance – on Polygon or via HSBC Orion.

Digital debt issuance closes the settlement-inefficiency gap. However, for absolute settlement finality on these trades, the system requires a sovereign settlement instrument in central-bank money – wholesale CBDC.

Wholesale CBDC (wCBDC) and Tokenized Reserves → answer to interbank settlement fragmentation

Wholesale CBDC is a DLT-based form of commercial-bank reserves held at the central bank, used only by financial institutions for interbank settlement. **Retail CBDC** is a separate scenario; wCBDC is not intended for individuals at all. Separately, **wrapped CBDC** is a tokenized central-bank liability issued on a third-party (commercial or public) blockchain, with 100% backing by real reserves. Why

does this matter to a bank? wCBDC delivers absolute settlement finality in central-bank money directly on-chain, with no intermediaries and none of the credit risk associated with them.

Production cases.

- **Project Helvetia (Phase II).** The SNB and BIS proved the technical and legal feasibility of settling securities trades in wCBDC on the **SDX** platform.²⁰
- **Project Pine.** The Federal Reserve Bank of New York confirmed that smart contracts can automate open-market operations and accrue interest on commercial-bank reserves, including under stress scenarios.²¹
- **mBridge** (the central banks of China, the UAE, Thailand, Hong Kong, Saudi Arabia) - according to Atlantic Council data from January 2026, cumulative transaction volume reached about **USD 55.49 billion**.²²

Geopolitical risks of mBridge for Western banks

- **e-CNY dominance.** According to Atlantic Council data, about **95.3%** of mBridge settlement volume is denominated in the digital yuan.²² This strengthens e-CNY's role in cross-border settlement outside dollar rails.
- **Sovereignty and sanctions exposure.** For Western banks, participation in this type of infrastructure requires a separate assessment of sanctions, compliance, and governance risks.
- **Technological isolation.** Connecting to mBridge may require a separate IT perimeter and integration work with existing ISO 20022 processes.

Regulatory anchor. In Switzerland, direct clearing and settlement of tokenized assets in wholesale digital francs are available within the Project Helvetia pilot on regulated SDX infrastructure.²⁰ The ECB has launched **Eurosystem DLT trials** for settlement in wholesale euro CBDC.

What the bank can do this week. Audit the readiness of the bank's ISO 20022 interbank gateway and assess the architectural requirements for integration with future wholesale CBDC platforms from the SNB or the Federal Reserve.

While central banks remain focused on the wholesale interbank layer, the retail B2B market and corporate cross-border payments are increasingly being claimed by private payment stablecoins.

Stablecoins as a Settlement Layer → answer to slow and expensive cross-border B2B payments

Stablecoins have moved from speculative crypto-asset into **corporate-grade payment rail**. McKinsey x Artemis (February 2026): the annualized estimate of real stablecoin payments, based on December 2025 activity, was about **USD 390 billion**, more than double the 2024 level. B2B accounted for **USD 226 billion (about 60%)** - a 733% year-on-year increase. The primary drivers are supply-chain payments, cross-border supplier settlements, and treasury liquidity management.²³

M&A and the payments landscape:

- **Visa Direct and stablecoins.** By April 2026, Visa's stablecoin settlement pilot had reached an **annualized run rate of USD 7 billion** and expanded to nine blockchains.²³ A key observation: the disruption is quiet – Visa Direct's back end is testing on-chain rails while the user-facing experience remains unchanged.
- **Mastercard announced a definitive agreement to acquire BVNK for up to USD 1.8 billion.** Mastercard expects the deal to close before the end of 2026, subject to regulatory approvals; the acquisition embeds stablecoin/fiat interoperability into endpoints for remittances, payouts, P2P, and B2B payments.²⁴
- **Stripe acquired Bridge for USD 1.1 billion.** Bridge positions itself as a stablecoin orchestration API for cross-border payments, global payouts, issuance, wallets, and cards; after the acquisition, that layer becomes part of Stripe's programmable-payments stack.²⁵

Corporate case. SWIFT x Chainlink CCIP: SWIFT and Chainlink experiments showed that the global SWIFT network (11,500+ financial institutions across 200+ countries) can instruct transfers of tokenized assets across public and private blockchains using existing SWIFT infrastructure. In other words, the bank does not build new nodes; it **extends** the ones already in operation.⁷

Regulatory anchor. In the U.S., the **GENIUS Act** requires 100% eligible reserves and prohibits direct interest payments.¹³ In the EU, **MiCA / EBA RTS** require at least **30% of EMT/ART reserves** (60% for significant tokens) to be held as deposits with credit institutions.¹⁴ For banks, the practical move is to size disintermediation risk and explore regulated-issuer partnerships for cross-border settlement.

Block 3 - Implementation Details and Operational Specifics

FIGURE 4

Tokenized Instruments Mapped to Bank Infrastructure Problems

BANKING PROBLEM	TOKENIZED INSTRUMENT	BANK FUNCTION IMPROVED	EXAMPLE USE CASE
1 Deposit outflow risk	Deposit Tokens	Preserve bank role in digital money	Bank-issued tokenized deposits
2 Credit back-office inefficiency	Tokenized Loans	Faster origination and distribution	HELOC / private credit rails
3 Collateral mobility	Tokenized T-Bills	Programmable HQLA collateral	Intraday repo / margin
4 Interbank clearing friction	wCBDC	Central-bank settlement layer	Wholesale DvP/PvP
5 Cross-border payment cost	Stablecoins	Programmable B2B payment rails	24/7 international settlement

Each tokenized instrument addresses a specific banking infrastructure constraint rather than forming a single generic blockchain category.

Integrating DLT into the classical banking architecture is not a product launch. It is a new risk model and a staged, piecewise build. Below - both layers.

Risks, Barriers, and Operational Resilience

1. Smart-contract and oracle risk. With classical software, an administrative database rollback is possible. With a smart contract, it is not: an exploit results in the instant, irreversible loss of funds. Mitigation requires Continuous Audit practices by specialized firms, together with multi-oracle systems (such as Chainlink) that prevent price-feed manipulation.

2. Key Management. Control of the private key is equivalent to operational control over the asset - there is no middle ground. Banks require institutional-grade custody: MPC/multisig, HSM-grade controls, MFA, segregation of duties, whitelist policies, and recovery procedures.³² In permissioned tokens, ERC-3643 provides freeze / recovery / forced-transfer mechanics; for public assets such as USDC/USDT, the safety layer depends on issuer rules and integration architecture rather than the bank's wallet alone.³¹

3. Operational Resilience and network throughput. Once operating on a public chain, the bank becomes dependent on its stability. Congestion on Ethereum or outages on L2 networks (Arbitrum, Base) produce transaction delays and sharp increases in gas fees. Until public networks reach "five nines" uptime (99.999% - less than 5 minutes of downtime per year), using a public chain as the

bank's primary settlement channel carries material operational risk. Mitigation is a multi-chain architecture with dynamic traffic rerouting to backup networks.

4. Technical vs. Legal Finality. A record in a block does not automatically transfer legal title in most jurisdictions. IOSCO explicitly flags the risk of a gap between ownership of a digital token, rights to the underlying asset, and the moment of legally defined settlement finality. An adverse scenario is possible: in litigation or issuer bankruptcy, the bank controls the token on the blockchain ledger but does not own the asset under property or insolvency law.³²

What tokenization does not solve. It does not eliminate the underlying asset's credit risk, AML and sanctions obligations, legal-enforceability risk, balance-sheet constraints, or counterparty-governance risk. DLT can accelerate coordination of ledgers, collateral, and settlement; it does not remove the quality of the asset or the institution's responsibility for it.

Strategic playbook by bank archetype

A universal 12-month roadmap is dangerous here: it looks practical, but replaces strategic choice with a task list. The first credible pilot will be different for a global transaction bank, a regional bank with corporate clients, a wealth bank, and a custodian bank. A more useful frame is to identify the bank archetype, choose a posture in each opportunity space (**lead / partner / distribute / monitor**), and only then assemble the 12-month execution plan.³³

FIGURE 6

Bank tokenization strategy matrix

A practical plan starts with the bank's role: lead, partner, distribute, or monitor.

BANK ARCHETYPE	POSTURE	FIRST TOKENIZATION PLAYS	FIRST 12 MONTHS
Global / transaction bank Payments, cash management, FX, large corporates	LEAD Convene	Stablecoin co-issuance Tokenized deposits Corporate treasury rails	Appoint a money-layer owner, select 1-2 treasury corridors, join a standards track, and design compliance-by-design.
National / regional bank Corporate clients, deposits, local payments	PARTNER Integrate	B2B payments Treasury use cases Consortium stablecoin / deposit token	Select a regulated partner, pilot with 2-3 corporate clients, prepare deposit-defense metrics, and integrate treasury reporting.
Retail / wealth bank Client access, brokerage, MMFs, tokenized Treasuries	DISTRIBUTE Enable	Crypto brokerage Tokenized MMFs Stablecoin settlement asset	Connect a custody or brokerage partner, define suitability, disclosure, limits, monitoring, and settlement perimeter.
Commercial lending / corporate bank Loans, private credit, collateral, servicing data	PARTNER Pilot	Loan tokenization Private-credit SPV Collateral workflows	Select a portfolio, define SPV and token standard, connect servicing data to investor reporting, and test transfer rules.
Custodian / capital-markets bank Securities financing, repo, collateral mobility	BUILD Orchestrate	Tokenized collateral Repo / securities financing wCBDC / synthetic CBDC readiness	Strengthen custody and key management, launch a collateral-desk pilot, and test legal finality and network controls.

Framework source: BCG x Anchorage Digital, Digital Assets: A Strategic Playbook for Banks, June 2026; Coinstruct adaptation.

Use the matrix as a decision layer: first choose the bank's realistic posture, then translate it into the execution table below.

Bank archetype	Strategic posture	First tokenization plays	What to do in 0-12 months	What proves the pilot is real
Global / transaction bank	Lead / convene	Stablecoin or co-issuance, tokenized deposits, corporate treasury and settlement rails	Appoint a digital money layer owner; select 1-2 corporate treasury corridors; join a consortium or standards track; design compliance-by-design	Corporate clients, daily settlement volume, economics of balances, measurable liquidity / FX / reconciliation effect
National or regional bank	Partner / integrate	B2B payments, treasury use cases, consortium stablecoin or deposit-token network	Select a regulated partner; pilot with 2-3 corporate clients; prepare deposit-defense scenarios; integrate reporting into the treasury stack	Clients actually use the rail for payments or treasury; the bank defends the deposit relationship, rather than merely "touching blockchain"
Retail / wealth bank	Distribute / enable	Crypto brokerage, tokenized money-market funds, tokenized T-Bills, stablecoin settlement for client access	Connect a custody or brokerage partner; define suitability and disclosure rules; test settlement assets for brokerage flow; set limits and monitoring	Fee revenue, wealth-client retention, controlled suitability / AML / custody risk
Commercial lending / corporate bank	Partner / pilot	Loan tokenization, private-credit SPV, collateral workflows, servicing-data rails	Select a portfolio with clear claims and rights; define SPV and token standard; connect servicing data to investor reporting; test transfer rules	Less manual operations, faster distribution or refinancing, near real-time investor reporting
Custodian / capital-markets bank	Build / orchestrate	Tokenized collateral, repo and securities financing, DLT settlement, wCBDC / synthetic CBDC readiness	Strengthen custody and key management; launch a collateral-desk pilot; check legal finality; embed network controls into operational risk	Effect on collateral mobility, settlement fails, intraday liquidity, securities-financing economics

The practical takeaway: tokenization strategy should not begin with "which chain do we use?" It should begin with the bank's role in the market. If the bank is a large transaction bank, it can lead or convene. If it is a regional bank, the safer first move is usually partner-led integration. If it is a retail or wealth bank, the highest-probability first step is controlled distribution through a licensed partner. If it is a custodian or capital-markets bank, the valuable pilot is likely collateral mobility and settlement finality.

Case study: Partners Banka - frontend-first digital assets entry

Partners Banka is a Czech digital-first retail bank built around a mobile app, advisory distribution, and a marketplace ambition. By April 2026, after two years of operation, it had reached 181,000 clients and more than CZK 43 billion in deposits.³⁴

Its crypto proposition shows one of the lowest-risk routes into digital assets for a retail bank. Partners Banka keeps the KYC relationship, user experience, client communication, and distribution layer. It does not try to become an exchange, custodian, or crypto-asset service provider on day one. Petr Borkovec described the model as a bank-app frontend with fiat-to-bitcoin conversion handled by Anycoin; bitcoin does not flow directly to or from the bank, which keeps the bank outside the core crypto AML and custody perimeter.³⁴

This is not tokenization in the narrow sense. Its value is the operating model: frontend first, infrastructure later - or never. For a retail / wealth or regional bank, this path can mean a regulated partner, a closed-loop custody perimeter, a limited asset set, and a usage-gated roadmap: first BTC / ETH access and client education, then broader digital assets, staking or yield only where allowed, multiple partners, and potentially stablecoin settlement or tokenized bonds later.³⁴

The case fits the **distribute / enable** posture. The bank keeps what matters commercially - client trust, interface ownership, and behavioral data - while avoiding the capital, compliance, and operational weight of building full crypto custody in year one.

Implementation note. For a bank choosing between **build, partner, distribute, or monitor**, the next practical step is not an RFP for a blockchain platform. It is a short opportunity scan: regulatory perimeter, client demand, partner landscape, custody model, data integration, and first-pilot economics.

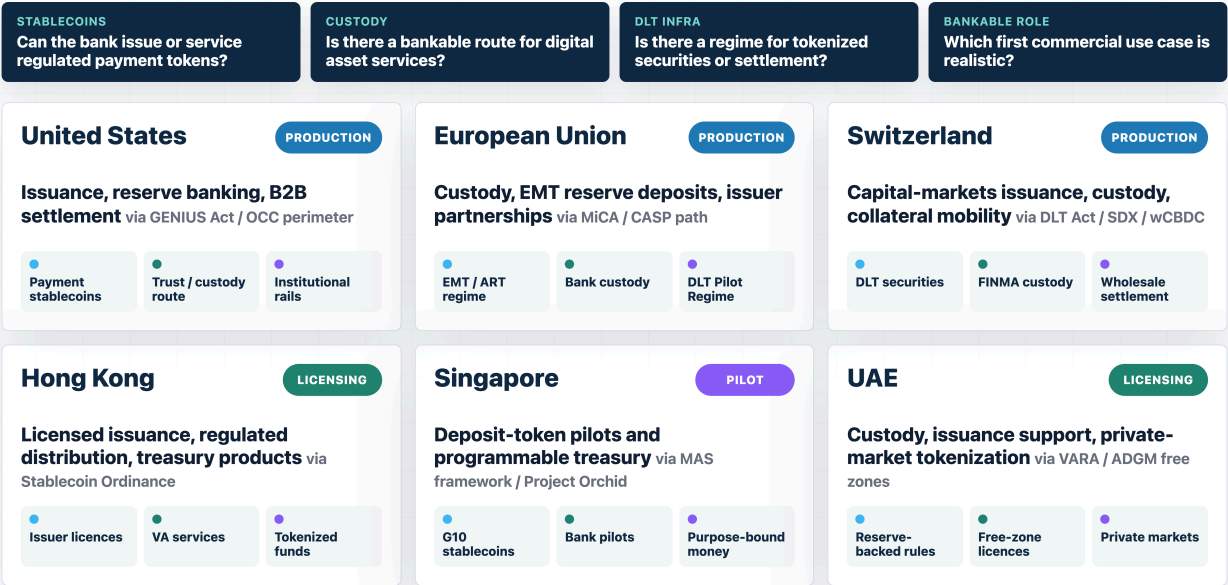
Regulatory map

Regulatory readiness differs not only by jurisdiction but by bank role. For product and strategy teams, the practical question is where the bank can already launch a regulated product as issuer, custodian, distributor, or settlement participant. These regimes enable partner-led models such as Partners Banka / Anycoin: the bank owns the client channel while the licensed partner carries crypto-specific custody, trading, and licensing burden.³⁴

FIGURE 5

Tokenization Regulatory Operating Map

The practical question is not whether tokenization is allowed, but where your bank can launch a regulated product as issuer, custodian, distributor, or settlement participant.



The detailed legal basis sits in the supporting table below; this figure is the operating view for product, treasury, and strategy teams.

The figure is meant as an operating map, not a legal checklist. It helps a bank decide which role is realistic in each jurisdiction: issue, custody, distribute, or participate in settlement. The table below translates that operating view into the concrete regulatory regimes a strategy or product team should validate before selecting partners and designing the first pilot.

Jurisdiction	Key regulation	Stablecoin status	Regime for banking institutions
European Union	MiCA ¹⁴	Fully regulated. EMT issuers must hold at least 30% of reserves as deposits at commercial banks.	Banks may provide digital-asset custody (CASP) after simple notification to the national regulator.
United States	GENIUS Act ¹³	Payment stablecoins with 100% backing by eligible reserves. Direct interest payment is prohibited.	Federal regime for permitted payment stablecoin issuers, including an OCC path for federal qualified issuers.
Hong Kong	Stablecoin Ordinance ²⁹	Mandatory licensing. HKMA granted the first two stablecoin issuer licences on April 10, 2026; the live register of licensed issuers is maintained by HKMA.	Issuance of tokenized investment funds and bonds is permitted for both professional and retail investors.
Singapore	MAS Stablecoin Framework	"MAS-regulated stablecoin" status is granted only to tokens pegged to SGD or G10 currencies.	Leading banks (DBS) actively pilot deposit tokens under the state-led Project Orchid .
UAE	VARA / ADGM Stablecoin Rules	Strict 100% liquid-asset reserve requirements. VARA prohibits issuers from paying any interest or rewards.	Banks may operate regulated custodians and tokenize real estate and credit within designated free zones.
Switzerland	DLT Act ²⁰	Regime for registered uncertificated securities / DLT securities, plus licensed SDX infrastructure for tokenized securities.	Direct clearing and settlement of tokenized assets in wholesale digital francs (wCBDC) is being tested under Project Helvetia on regulated SDX infrastructure.

Conclusion

The modernization of banking infrastructure through 2030 will not be a single sharp leap. It is a piecewise, step-by-step adaptation of existing processes to the programmable settlement layer. Tokenization does not replace the bank; it restructures the coordination of liquidity, collateral, and settlement within a system that already works.

A material nuance: the dividing line in the industry does not run between "crypto-banks" and "regular banks." It runs between institutions that **begin piloting now** - while the window of regulatory clarity (MiCA, GENIUS Act, HKMA, DLT Act) is open and competitors are building experience on Sygnum / Canton / HQLAx - and those that **wait for standardization** and join the hybrid model in the second wave, on harder entry terms. Banking infrastructure is durable; the constraint here is not technology, but the speed at which an institution can take a decision and move it to pilot.

For a bank preparing its first step, the minimum 12-month program is no longer a single maturity ladder. It is a set of management decisions: select posture by opportunity space, appoint a digital money / settlement layer owner, select 2-3 demand-backed use cases, make build-vs-partner decisions, and strengthen risk, compliance, custody, and operating model before scaling. This is enough to move from waiting mode to controlled implementation and avoid turning tokenization into a polished but useless presentation.

Next Step

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